

Reserves

Reserves are profits or gains which are retained and not distributed. Companies have two kinds of reserves — capital reserves and revenue reserves:

1. *Capital Reserves*: Capital reserves are gains that have resulted from an increase in the value of assets and they are not freely distributable to the shareholders. The most common capital reserves one comes across are the share premium account arising from the issue of shares at a premium, and the capital revaluation reserve, i.e. unrealised gain on the value of assets.
2. *Revenue Reserves*: These represent profits from operations ploughed back into the company and not distributed as dividends to shareholders. It is important that all the profits are not distributed as funds are required by companies to purchase new assets to replace existing ones, for expansion, and for working capital.